

BEFORE THE FEDERAL MARITIME COMMISSION

HAPAG-LLOYD AG – INVESTIGATION FOR
COMPLIANCE WITH 46 USC §§ 41104(a)(14)
AND 41104(a)(15)(B) UNDER THE CHARGE
COMPLAINT PROCEDURES OF 46 USC
§ 41310

DOCKET NO CC-002

**RESPONSE OF HAPAG-LLOYD AG
TO ORDER TO SHOW CAUSE**

“Public Version – Confidential Material Excluded”

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**RESPONSE OF HAPAG-LLOYD AG
TO ORDER TO SHOW CAUSE**

Pursuant to 46 CFR § 502.91 Respondent, Hapag-Lloyd AG (“HPL” or “Respondent”), hereby replies to the Federal Maritime Commission’s (the “Commission”) Order Directing Respondent to Show Cause (“OSC”) as to why:

1. Respondent respectfully requests that the Commission dismiss this proceeding and decline to find, on the present record, that Respondent failed to comply with 46 CFR § 541.7(a) in violation of 46 USC §§ 41104(a)(14) or 41104(a)(15)(B), or is subject to waiver, refund, or civil penalties under 46 USC §§ 41310(c), 41310(d), 41107, or 41109(a)
2. The Commission should not order the waiver of charges assessed or invoiced to Oceana Global Logistics, LLC with respect to charges that purportedly do not comply with § 41104(a)(14) or § 41104(a)(15)(B), as provided under 46 USC § 41310(c);
3. The Commission should not impose a civil penalty under 46 USC §§ 41310(d), 41107, and 41109(a) upon any such finding of noncompliance
4. Respondent respectfully submits that no such findings should be made, no waiver or refund should be issued, and no penalty is warranted
5. The Declaration of Christopher Rutgers, and the Declaration of Wook Chung in support of this Response to the OSC are annexed herewith as Appendix I and II together with the associated Exhibits.

PRELIMINARY STATEMENT

The Commission's Bureau of Enforcement, Investigations, and Compliance ("Bureau") seeks for Respondent to waive more than a million dollars of valid, undisputed charges and to also impose legal penalties based on a regulation Respondent did not violate. The Bureau's position rests on an interpretation that contradicts its own factual allegations and employs legal theories unsupported by the Commission's regulations, governing precedent, the Ocean Shipping Reform Act of 2022 ("OSRA"), or the Commission's regulatory documents, including its Notice of Proposed Rulemaking ("NPRM") and the Final Rule. The OSC assumes that, even when original detention or demurrage invoices are timely issued within the 30 calendar day period prescribed by 46 CFR § 541.7(a), the charges nonetheless become invalid if the carrier later reissues those same invoices to the same billed party outside that period. Nothing in the regulation supports that assumption.

The subject invoices were, by the Bureau's own account, timely issued within the 30-day period provided in 46 CFR § 541.7(a). The OSC concedes that: (1) the 159 "Initial Invoices" were issued between 2 and 13 days after the last charge was incurred, and (2) the April 18, 2025 reissued invoices reflected identical charges with identical invoice numbers. On those facts, the Initial Invoices were timely, and the later invoices were merely revisions tied to the same underlying assessments. Not only are the invoices at issue within the timeframe prescribed in 541.7(a), but the text of the regulation is clear in providing that timely invoices sent to the proper billed party are not subject to the guidelines of 541.7. Both the regulation's text and the Commission's explanation are unambiguous: the 30 calendar day requirement of 541.7(a) governs the timely original issuance of invoices, while 541.7(d) separately addresses the narrow circumstance in which an original invoice was sent to the wrong billed party. These provisions

not only make this distinction but also affirmatively permit the Respondent to reissue invoices outside the timeframe of § 541.7(a). The regulation must be read to allow this action.

Carriers must be permitted to reissue invoices outside the timeframe of § 541.7(a) because the Bureau's interpretation would create an unfair surprise, and violate fair notice requirements and constitutional due process. The Commission's Final Rule confirms that a noncompliant invoice does not necessarily and permanently eliminate the obligation to pay, and that OSRA does not prevent a carrier from reissuing charges on an invoice that meets the statutory requirements. The billed party is likely to have exclusive knowledge of potential issues with an invoice but if a carrier were prevented from reissuing an invoice after the 30 day term set by § 541.7(a), as the Bureau seems to suggest, any evidence and information in the hands of the billed party is eliminated from the equation. If a carrier were prohibited from reissuing invoices, the billed party would have no incentive to promptly report errors and could effectively wait 30 days for the obligation to pay to be permanently extinguished. Such an interpretation would constitute an unfair surprise to the regulated community, contradict stated Commission rules, and create troubling consequences in practice.

The regulations make clear that a corrected invoice is required to be issued within 30 days only if the original invoice was sent to the wrong party. (46 CFR § 541.7(d)). The regulations further provide that an invoice issued within 30 days satisfies its regulatory obligations and the billed party is required to pay the charge even if certain information on the original invoice is later corrected. (46 CFR § 541.7(a)). The rules do not provide the "ascertainable certainty" required for fair notice and because the Commission failed to provide such notice of its contrary interpretation, it cannot hold Hapag Lloyd liable.

The issuance timeframe in § 541.7(a) is designed to protect the shipping public from receiving invoices 30 days after the charge was last incurred. It is not intended to relieve a billed party of paying carriers' valid detention and demurrage charges where no invoice dispute took place. Applying the rule as the Bureau proposes would impose a strict forfeiture on a carrier who receives no notice of any deficiency until after a charge complaint is filed. This procedure produces an absurd result: silence becomes a permanent bar to collection. This is not, and cannot be, what the regulation intends to accomplish.

In addition to the unfair impact the Bureau's interpretation would have on the industry generally, the interpretation is also unreasonable as applied to Respondent's. It ignores relevant facts surrounding Respondent's invoices, in contradiction of the Commission's prior statements and precedent. In *World Shipping Council v. FMC*, the D.C. Circuit confirmed that Part 541 enforcement requires a fact-specific analysis, not rigid formalism. The Bureau was therefore required to consider Respondent's specific circumstances when determining that the invoices at issue fall under 541.7(a)'s timing restriction. As stated above, it is undisputed that the Initial Invoices were timely and issued to the proper party. The revised invoices were then re-issued: (1) using the same invoice numbers as the Initial Invoices, (2) for the same charges, (3) to the same proper party. No dispute was ever raised regarding the merits of the reissued charges. By failing to consider these circumstances, the Bureau is effectively penalizing Respondent for cooperating within the parameters of the dispute resolution process. Such result contradicts the Commission's stated purpose of promoting "consistency, fairness, and transparency,"

Finally, the charges cannot be waived, and legal penalties cannot be imposed, because 46 USC § 41310 is remedial and the OSC procedure is unlawful. 46 USC § 41310 authorizes waivers, refunds, and penalties only if the Commission first establishes an actual predicate

violation of § 41104(a) or § 41102. Here, the Initial Invoices were timely issued, the reissued invoices reflected the same charges and same invoice numbers, and neither the statute nor the rule creates a universal “30-day deadline to reissue.” Accordingly, the required predicate violation is absent. In addition, the OSC procedure involving CC#2 is procedurally deficient. The Order streamlines procedural requirements for the imposition of civil monetary penalties in a manner that violates statutory mandates, avoids notice and comment rulemaking, and ignores the procedural protections and requests for information warranted under the circumstances.

**MEMORANDUM OF LAW IN SUPPORT OF THE RESPONSE TO THE ORDER TO
SHOW CAUSE**

STATEMENT OF FACTS

1. Hapag-Lloyd AG is a vessel-operating common carrier identified in the OSC as the Respondent in this proceeding.
2. The OSC states that Oceana Global Logistics, LLC (“Oceana”) previously filed CC#1 as the billed party identified on the 167 Initial Invoices.¹ (OSC ¶ 8).
3. HPL confirms that all 167 Initial Invoices were issued to Oceana as the billed party. (Appendix I –Declaration of Christopher Rutgers ¶¶ 6, 8; Exhibit A to the Declaration of Christopher Rutgers).
4. The OSC states that, in CC#1 Oceana alleged that certain required information was missing or incorrect from the Initial Invoices. (OSC ¶ 9).
5. The OSC further states that on or about April 18, 2025, Respondent issued 159 revised invoices to Oceana in response to CC#1’s allegation. (OSC ¶ 10).

¹ Charge Complaint No 20250034, as described in the Order to Show Cause (“OSC”), is referred to herein as ‘CC#1.’ The 167 demurrage and detention invoices at issue in that matter are referred to herein as the “Initial Invoices” as used in the OSC.

6. HPL confirms that on or about April 18 2025, Hapag-Lloyd issued 159 Reissued Invoices to Oceana as the billed party. (Appendix I –Declaration of Christopher Rutgers ¶¶ 9, 12; Exhibit B to the Declaration of Christopher Rutgers).

7. The OSC states that the CC#1 was resolved when Respondent confirmed cancellation of the Initial Invoices, and that CC#1 was closed on or about May 13, 2025. (OSC ¶¶ 15-16).

8. The present proceeding arises from CC#2 where Oceana filed as the billed party identified on the 159 Reissued Invoices.² (OSC ¶ 17).

9. The billed party did not change between the Initial Invoices and the Reissued Invoices. The OSC describes the April 18, 2025 invoices as revised versions of the same invoices. (OSC ¶ 10).

10. HPL’s own review of the Initial Invoices and the Reissued Invoices is consistent with the OSC’s assessment. (Appendix I –Declaration of Christopher Rutgers ¶¶ 8, 12, 14; Exhibit C to the Declaration of Christopher Rutgers).

11. The 159 Reissued Invoices used the same invoice numbers as the disputed Initial Invoices. (OSC ¶ 12; Appendix I –Declaration of Christopher Rutgers ¶¶ 11, 14; Exhibit C to the Declaration of Christopher Rutgers).

12. HPL’s records show, and the OSC concedes, that the “Initial Invoice” dates shown on the Reissued Invoices ranged from 2 to 13 days after the date on which the charge was last incurred. (OSC ¶ 26; Appendix I –Declaration of Christopher Rutgers ¶ 7).

² Charge Complaint No 20250139, as described in the Order to Show Cause (“OSC”), is referred to herein as ‘CC#2’ The 159 invoices at issue in that matter are referred to herein as the “Reissued Invoices” as used in the OSC.

13. HPL's records show, and the OSC concedes that all 159 Reissued Invoices are dated April 18, 2025. (OSC ¶ 27; Appendix I –Declaration of Christopher Rutgers¶ 9; Exhibit B to the Declaration of Christopher Rutgers).

14. The 159 Reissued Invoices assessed and billed the same charges as the disputed Initial Invoices. (OSC ¶ 11; Appendix I – Declaration of Christopher Rutgers¶ 10, Exhibit C to the Declaration of Christopher Rutgers).

15. The Reissued Invoices did not impose any new or additional underlying detention or demurrage beyond the charges already reflected on the Initial Invoices. (OSC ¶ 11; Appendix I –Declaration of Christopher Rutgers, ¶¶ 13, 14; Exhibit C to the Declaration of Christopher Rutgers).

16. The OSC states that in CC#2 Oceana alleges that the Reissued Invoices were issued more than 30 days after the date on which the charge was incurred in violation of 46 CFR § 541.7(a). (OSC ¶ 18).

17. Oceana has not submitted any dispute concerning the Reissued Invoices' content or the amounts reflected on the Reissued Invoices. (Appendix I –Declaration of Christopher Rutgers ¶ 15).

18. Thus, on the face of the OSC, the only legal issue presented is whether Respondent violated 46 CFR § 541.7(a) for failure to issue the Reissued Invoices within 30 days after the date on which the last charge was incurred, and whether such action subjects Respondent to civil penalties. (OSC ¶ 32-35).

19. On or about December 15, 2025, Respondent's counsel, on instruction from HPL, submitted a Freedom of Information Act request ("FOIA Request") to the Commission seeking records relating to charge complaints that were dismissed or closed by the FMC without private

settlement following the enactment of OSRA. (Appendix II – Declaration of Wook Chung, ¶¶ 7,8; Exhibit AA to the Declaration of Wook Chung).

20. The FOIA Request also includes a request for records concerning charge complaints in which a party submitted an answer or other substantive response, but the matter was not escalated to an Order to Show Cause. (Appendix II – Declaration of Wook Chung, ¶ 8; Exhibit AA to the Declaration of Wook Chung).

21. On January 13, 2026, the Commission advised that Counsel had the option to narrow the scope of its FOIA Request. (Appendix II – Declaration of Wook Chung, ¶ 9; Exhibit AA to the Declaration of Wook Chung).

22. On the same day, Counsel, on instruction from HPL, narrowed the FOIA Request, seeking records of how the Commission has handled Charge Complaints filed since OSRA’s enactment — specifically, which complaints were closed without a private settlement and which resulted in an Order to Show Cause despite a respondent having filed a substantive response. (Appendix II – Declaration of Wook Chung, ¶ 10; Exhibit AA to the Declaration of Wook Chung).

23. As of filing this Response, Counsel for Respondent has not received a substantive determination or any documents in response to its FOIA Request. (Appendix II – Declaration of Wook Chung, ¶ 12).

LAW AND ARGUMENT

POINT I.

RESPONDENT’S ACTION OF ASSESSING AND CHARGING THE 159 SUBJECT DETENTION AND DEMURRAGE INVOICES IS NOT IN VIOLATION OF §§ 41104(a)(14) AND 41104(A)(15)(B)

The Bureau’s OSC asserts that Respondent violated 46 CFR § 541.7(a) and thus failed to comply with §§ 41104(a)(14) and 41104(a)(15)(B). That assertion fails in light of the facts

alleged in the OSC, the unambiguous terms of § 541.7, the Commission’s own interpretation of its demurrage and detention rules, and established fair-notice and constitutional-avoidance principles.

A. The factual allegations in the OSC support the finding that 46 CFR § 541.7(a) has not been violated

In recounting the prior history of the invoices at issue, the Bureau set forth a timeline for the charges in question. The Bureau acknowledged that the invoices were initially issued between 2-13 days after the date on which the related charge was last incurred. (OSC, ¶ 26). This timeframe sits comfortably within the 30 calendar day requirement of 46 CFR § 541.7(a). Accordingly, under the plain text of § 541.7(a), the Initial Invoices were timely issued. That conclusion should end the inquiry.

The OSC, however, attempts to circumvent this factual finding by arguing that the subject invoices are new, first-time charges with an independent timeliness deadline. Again, the OSC’s own factual allegations defeat this theory. The Bureau expressly stated that the subject invoices “assessed and billed the same charges” “with the same invoice numbers” as the Initial Invoices. (OSC ¶ 11-12). The April 18, 2025 invoices were therefore revised versions of the same invoices, tied to the same underlying charges and issued in response to objections raised in the first Charge Complaint. On these facts, the original issuance of the invoices, and not the clarifying reissuance is the event that is legally relevant event for the purpose of the timing mandated by § 541.7. The OSC thus fails to allege facts establishing any violation of the 30 calendar day timing requirement of § 541.7(a).

§§ 41104(a)(14) and 41104(a)(15)(B) do not alter this result. Those provisions require common carriers to comply with applicable statutory and regulatory requirements when assessing and invoicing charges, but neither imposes an independent timing restriction for

detention or demurrage charges. Accordingly, §§ 41104(a)(14) and 41104(a)(15)(B) do not affect whether the invoices complied with § 541.7(a), nor do they establish any issuance deadline applicable to the circumstances surrounding the invoices.

B. The Reissued Invoices are not subject to the timeframes established in § 541.7

§ 541.7 does not provide an issuance deadline for the circumstances the 159 Reissued Invoices fall under. As noted in the facts above, the Reissued Invoices are revised versions of the Initial Invoices. The Reissued Invoices were clarified to include required information that was missing or incorrect. There was no change as to the identity of the billed party and all revisions were based on the content of the Initial Invoices. The Commission and the billed party acknowledged receipt of these revisions, the Initial Invoices were cancelled, and the initial matter was closed.

§ 541.7 defines when an invoice is timely in its first issuance and when it is timely when reissued to a different party. The statute does not provide that a timely invoice becomes untimely merely because a revised or clarified version is later sent to the same billed party, nor does such a revision or clarification render the charges uncollectable against its billed party. A contrary interpretation, as the one the Bureau appears to suggest, is inconsistent with the text of § 541.7, departs from established principles of regulatory interpretation, and raises significant fair notice concerns.

i. The regulatory text of § 541.7 is not ambiguous and affirmatively permits the reissuance of invoices

The Bureau is seeking *Auer* deference for its interpretation of § 541.7(a). When applicable, “*Auer* deference gives an agency significant leeway to say what its own rules mean.” *Kisor v. Wilkie*, 588 U.S. 558, 580, 139 S.Ct. 2400, 204 L.Ed.d 841 (2019). The Supreme Court in *Kisor v. Wilkie* provided the governing standard for evaluating an agency’s interpretation of its

own regulations and established a rigorous framework for when *Auer* deference is appropriate. Specifically, a court must first determine whether the regulation is genuinely ambiguous. *Kisor* 588 U.S. at 574. If ambiguous, the agency’s interpretation of the regulation must reflect its fair and considered judgment and must not create an unfair surprise to regulated parties in violation of fair-notice and constitutional due process principles. *Id.* at 579. The Bureau may contend that textual ambiguity in § 541.7(a) permits its interpretation that the 30-day deadline forecloses any right of corrective reissuance. That contention misapplies the governing framework of *Auer* and *Kisor*. The regulatory text of § 541.7(a), when properly assessed under the *Kisor* framework, its rulemaking history, and statutory basis, is void of any ambiguity and affirmatively permits the ability for corrective reissuance.

The Supreme Court in *Kisor* made clear that, before declaring a regulation ambiguous, the court must “exhaust all the ‘traditional tools’ of construction” and “must ‘carefully consider’ the text, structure, history, and purpose of a regulation, in all the ways it would if it had no agency to fall back on” *Id.* at 575 (internal citation omitted). One such traditional tool is the canon of statutory interpretation *expressio unius est exclusio alterius*, which provides that the expression of one thing implies the exclusion of others. *Barnhart v. Peabody Coal Co.*, 537 U.S. 149, 168, 123 S Ct 748, 760, 154 L Ed 2d 653 (2003) (stating “As we have held repeatedly, the canon *expressio unius est exclusio alterius* ... has force only when the items expressed are members of an ‘associated group or series,’ justifying the inference that items not mentioned were excluded by deliberate choice, not inadvertence”); *See, e.g., Bimsha Int’l v. Chief Cargo Services, Inc and Kaiser*, Docket No. 10-08, 2013 WL 9808692 Docket No 10-08 (F.M.C. Sept. 4, 2013) (applying the *expressio unius* canon and holding that the express inclusion of certain

origin/destination combinations implied the exclusion of others under the Pomerene Act). That canon applies here.

Under the familiar negative-implication principle, where a regulation singles out one category of correction for a special timing rule, the omission of comparable language for other categories is significant. Subsection (d) specifically addresses one correction scenario: the misidentification of the billed party, and specifically limits that corrective invoice to the same 30-day period measured from the last-incurred charge. Had the Commission meant to impose that same limitation on all other corrections to timely issued invoices, it could easily have done so. It did not. That silence is not ambiguity that unlocks deference; rather, it reflects a gap that the FMC addressed in its Final Rule, explaining that OSRA does not prohibit carriers from reissuing charges on a compliant invoice.

The only interpretation of § 541.7(a) that is consistent with both, the text of the statute and with the FMC Final Rule is that it permits corrective reissuance as long as the original invoice for the charge was issued within the 30-day window. It requires only that “a[n]... invoice” for a charge be issued within thirty days, not that the exact invoice ultimately relied upon for payment itself be timely. The indefinite article matters: a timely invoice satisfies the statute, and its text does not require that “the final invoice” or “the invoice on which payment is sought” be issued within the statutory timeframe. The text of § 541.7(a) does not prohibit corrective reissuance, nor does it render the original invoice immutable.

This interpretation is confirmed by subsection (d) which expressly contemplates correction and replacement of invoices. Where “the billing party invoices an incorrect person,” the statute provides that the billing party “may issue an invoice to the correct billed party” within 30 days of the date the charge was last incurred. 46 CFR § 541.7(d). The Commission’s Final

Rule describes subsection (d) in precisely those terms. 89 Fed. Reg. 14,330, 14,348 (Feb 26, 2024) (noting the ability for “reissuing an invoice”, “issuance of the corrected invoice,” and “reissue the invoice to the correct party”). § 541.7 therefore assumes that invoices may be corrected and reissued and subsection (d) imposes a special timing restriction when the original defect pertains to when the invoice was sent to the wrong person.

For those reasons, Respondent submits that § 541.7 is best read to permit reissuance or correction of a timely invoice after thirty days, except where the correction consists of invoicing a different billed party. In this latter case, subsection (d) supplies the governing rule. At minimum, the regulation does not affirmatively prohibit such post-30-day corrections. On the contrary, by requiring timely issuance of “a” invoice for the charge, while separately and expressly regulating only one specific category of corrected invoice in subsection (d), the text affirmatively permits corrective reissuance outside that distinct wrong-party context.

The rulemaking history points the same way. In the NPRM, the Commission proposed a separate timing rule for invoices originally sent to the wrong party, under which the correct billed party would have to receive an invoice within 30 days after the incorrect party disputed the charge, but in no event later than 60 days after the charge was last incurred. 87 Fed. Reg. 62,341, 62,358 (Oct 14, 2022). In the Final Rule, the Commission tightened that specific provision, explaining that “the burden of issuing a correct invoice should not rely on an incorrectly billed party to dispute the incorrect invoice,” and that § 541.7(d) “now gives a billing party 30 calendar days to issue a corrected invoice,” while § 541.7 generally “spells out the rules for issuing an invoice to the correctly billed party.” 89 Fed. Reg. 14,330, 14,348, 14,358. The Commission thus made a deliberate choice to expressly regulate reissuance in the wrong-party scenario. The

natural inference is not that all other corrections are silently forbidden, but that this particular kind of correction required a special, explicit limitation.

It is a “core administrative-law principle that an agency may not rewrite clear statutory terms to suit its own sense of how the statute should operate.” *Utility Air Regulatory Group v. EPA*, 573 U.S. 302, 328, 134 S.Ct. 2427, 189 L.Ed.2d 372 (2014). Given the narrow application of § 541.7(d), the Bureau effectively reads an additional argument into § 541.7(a): that every revised or reissued version of an invoice must also be transmitted within the same 30 calendar day period or the timely invoice is forfeited. The *Kisor* court foreclosed this approach. The court explained, “if the law gives an answer—if there is only one reasonable construction of a regulation—then a court has no business deferring to any other reading, no matter how much the agency insists it would make more sense. Deference in that circumstance would ‘permit the agency, under the guise of interpreting a regulation, to create *de facto* a new regulation’... *Auer* does not, and indeed could not, go that far.” 588 U.S. at 575 (quoting *Christensen v. Harris County*, 529 U.S. 576, 588, 120 S.Ct. 1655, 146 L.Ed.2d 621 (2000)).

Most importantly, there is no conflict between the text of § 541.7(a) and the Commission’s recognition that invoices may be reissued, and thus no ambiguity requiring deference. The Final Rule acknowledges corrective reissuance. § 541.7(a) establishes when invoices must be issued. These provisions address distinct questions and are fully compatible. *Auer* deference exists to resolve genuine regulatory ambiguity, not to allow an agency to manufacture a conflict between its own guidance and its own regulation. The Bureau’s interpretation therefore warrants no deference. The Commission should instead adopt the plain-meaning, textually sound reading: § 541.7(a) governs original issuance, § 541.7(d) governs the

distinct wrong-party scenario, and the invoices at issue are not subject to either provision's 30 calendar day deadline.

ii. Even if § 541.7(a) were ambiguous, the Bureau's interpretation of § 541.7(a) would not be entitled to controlling weight

Even if the Commission were to find § 541.7(a) genuinely ambiguous, *Kisor* would independently bar deference here because the Bureau's interpretation would constitute an unfair surprise to regulated entities. Under *Kisor*, there must be "an independent inquiry into whether the character and context of the agency interpretation entitles it to controlling weight." *Kisor*, 588 U.S. at 576. The agency's interpretation of its regulation must "reflect [the agency's] 'fair and considered judgment on the matter in question' and courts should decline to defer to an interpretation that creates 'unfair surprise to regulated parties.'" *Id.* at 579; *Christopher v. SmithKline Beecham Corp.*, 567 U.S. 142, 155, 132 S.Ct. 2156, 183 L.Ed.2d 153 (2012) (citing *Auer v. Robbins*, 519 U.S. 452, 462, 117 S.Ct. 905, 137 L.Ed.2d 79 (1997)); *Long Island Care at Home, Ltd v. Coke*, 551 U.S. 158, 170, 127 S.Ct. 2339, 168 L.Ed.2d 54 (2007). A lack of "fair warning" weighs against *Auer* deference, and an interpretation that "would have imposed retroactive liability on parties" is not entitled to controlling weight. *Kisor* 588 U.S. at 579.

The Bureau's interpretation would constitute an "unfair surprise" to Respondent and other carriers regulated under § 541.7 because, under that interpretation, carriers would lack notice or fair warning. As stated above, the text of §§ 541.7(a) and 541.7(d) does not explicitly state that the 30 calendar day timeframe applies to corrected invoices reissued to the same properly billed party. Any contrary interpretation would operate retroactively by stripping away the enforceability of invoices that were timely issued under the rule's text. Imposing such interpretation on the shipping industry now would create the type of post-hoc rationalization *Kisor* said deserves no deference. *Kisor* 588 U.S. at 579 (stating "a court should decline to defer

to a merely ‘convenient litigating position’ or ‘*post hoc* rationalization[n] advanced’ to ‘defend past agency action against attack.’” (internal citation omitted)).

The Bureau’s interpretation is further undermined when considered alongside the Commission’s statements in the Final Rule. The Commission explained that a noncompliant invoice does not eliminate a party’s obligation to pay and, correspondingly, recognized the ability of billing parties to reissue invoices. The Commission stated, “issuing an invoice that does not comply with OSRA’s requirements does not permanently eliminate the billed party’s obligation to pay those charges... The correctly billed party has an obligation to pay charges billed via a compliant invoice.” 89 Fed. Reg. 14,330, 14,349 (Feb 26, 2024). The Commission also stated that “the final rule removes the link between a billing party’s ability to reissue an invoice with an incorrectly billed party’s disputing of that invoice... *the billing party must reissue* the invoice to the correct party within 30 calendar days of when the charges were last incurred.” *Id.* (emphasis added). If a deficient invoice does not permanently void charges, then a timely original invoice cannot become void merely because a clarified version is later sent to the same party. A payment obligation that survives a defective invoice is meaningless unless the carrier retains the ability to issue a corrected invoice and has sufficient time to collect on it.

Commission regulations do not prohibit such corrections and should not be construed to do so, as the customer possesses critical information necessary to assess the content’s accuracy. If corrections were disallowed, the validity of any charge would be dependent only on information the billing party possesses. More often than not, however, the billed party has information concerning any inaccuracies or issues with the charge. The 30-day reissuance requirement presumes that the carrier is unilaterally aware that a correction is needed without any participation by the billed party in terms of notice or information. However, absent a dispute

or notice from the billed party, the carrier lacks a basis to identify errors requiring amendment. Requiring reissuance within 30 days of the original charge would place carriers in an untenable position and would be contrary to Commission guidance understood in the Final Rule. The Commission's statements were reasonably understood by the regulated community to permit reissuance of invoices beyond the 30 calendar period prescribed in § 541.7(d). Adopting the Bureau's contrary interpretation now would blindside regulated entities who relied on that published guidance, constituting the very type of unfair surprise barred under *Kisor* and raising serious fair notice concerns.

iii. Applying the Bureau's interpretation of § 541.7(a) raises significant fair notice concerns regarding Respondent's due process rights

In analyzing an agency's interpretation of the law, the Supreme Court identified another rule of statutory construction: the doctrine of constitutional avoidance. *Edward J Debartolo Corp. v. Fla. Gulf Coast Bldg. and Const. Trades Council*, 485 U.S. 568, 108 S.Ct. 1392, 99 L.Ed.2d 645 (1988). Under this rule, "where an otherwise acceptable construction of a statute would raise serious constitutional problems, the Court will construe the statute to avoid such problems unless such construction is plainly contrary to the intent of Congress." *Id.* at 575. In other terms, "every reasonable construction must be resorted to, in order to save a statute from unconstitutionality." *Id.* (quoting *Hooper v. California*, 155 U.S. 648, 657, 15 S.Ct. 207, 211, 39 L.Ed. 297 (1895)).

One constitutional protection is the Due Process Clause of the Fifth Amendment which requires that laws regulating persons or entities provide fair notice of what conduct is proscribed. *F.C.C. v. Fox Television Stations, Inc.*, 567 U.S. 239, 253 132 S.Ct. 2307, 183 L.Ed.2d 234 (2012). Laws are impermissibly vague and violate constitutional due process when they fail to provide a person with fair notice of what is prohibited and what is required. *Id.* Accordingly, an

agency's interpretation that fails to provide such notice would contravene principles of constitutional avoidance.

As noted above, the best reading of § 541.7(a) is that the billed party is relieved of its obligation to pay a demurrage or detention charge only if the billing party fails to “issue *a* demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred.” (46 CFR § 541.7(a) (emphasis added))—if the billing party *does* “issue a demurrage or detention invoice” to the correct billed party within 30 days, and later merely issues a correction, the billed party does not escape its payment responsibility. *Cf. Id.* § 541.7(d) (requiring correction of invoice within 30 days of the charge only “[i]f the billing party invoices an incorrect person”). But even if that were not the case, the Commission still could not impose civil penalties on Respondent based on its novel contrary interpretation, because Respondent lacked fair notice of that atextual view.

“Due process requires that parties receive fair notice before being deprived of property” *Gen. Elec. Co. v. E.P.A.*, 53 F.3d 1324, 1328 (D.C. Cir. 1995). Thus, “[i]n the absence of notice—for example, where [a] regulation is not sufficiently clear to warn a party about what is expected of it—an agency may not deprive a party of property by imposing civil or criminal liability.” *Id.* at 1328-1329; *see also, e.g., KPMG, LLP v. SEC*, 289 F.3d 109, 116-117 (D.C. Cir. 2002) (“[T]he court ‘cannot defer to the Commission’s interpretation of its rules if doing so would penalize an individual who has not received fair notice of a regulatory violation.’”) (quoting *Upton v. S.E.C.*, 75 F.3d 92, 98 (2d Cir. 1996)). Fair notice is lacking where, “by reviewing the regulations and other public statements issued by the agency, a regulated party acting in good faith would [not] be able to identify, with ascertainable certainty, the standards

with which the agency expects parties to conform” *Gen Elec Co*, 53 F.3d at 1329; *accord, e.g., ExxonMobil Pipeline Co. v. U.S. Dep’t of Transp.*, 867 F.3d 564, 578-579 (5th Cir. 2017).

That standard is met here. As described in depth above, “a regulated party” “reviewing the regulations” (*Gen Elec Co*, 53 F.3d at 1329.) would be left with the impression that it must “issue [a] corrected demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred” *only* if the initial invoice “invoiced an incorrect person” (46 CFR § 541.7(d)); if the carrier bills the correct party within 30 days, then it has satisfied its regulatory obligation to “issue a demurrage or detention invoice,” and “the billed party” is “required to pay the charge,” even if certain information on the original invoice is later updated or corrected. (*Id.* § 541.7(a) (emphasis added)). The regulations on their face certainly do not provide “ascertainable certainty” (*Gen. Elec. Co.*, 53 F.3d at 1329) that the opposite is true. Because the Commission has failed to provide fair notice of its interpretation, it cannot hold Hapag Lloyd liable. *Gen Elec Co*, 53 F.3d at 1328.

C. The Bureau’s actions are unreasonable, arbitrary, and capricious, and contrary to stated policy rationale and Commission jurisprudence

As stated above, an agency’s interpretation must be plausible and satisfy the requirements of *Kisor* to be afforded *Auer* deference. Separately, an agency’s action must also be rational and reasonable under the arbitrary and capricious standard. The Supreme Court in *Motor Vehicles Mfrs Ass’n of U.S. v. State farm Mut Auto Ins Co* is the leading interpretation of the Administrative Procedure Act’s standard and requires an agency to articulate “a satisfactory explanation for its action including a rational connection between the facts found and the choices made.” 463 U.S. 29, 43, 103 S.Ct. 2856, 77 L.Ed.2d 443, 13 Env’t. L. Rep. 20,672 (1983). Agency action is arbitrary and capricious where the agency has “entirely failed to consider an

important aspect of the problem” or has “offered an explanation for its decision that runs counter to evidence before the agency.” *Id.*

i. The Bureau failed to consider the relevant facts of Respondent’s subject invoices

The DC Circuit has previously analyzed the reasonableness of the FMC’s decision-making process and assessed whether the agency acted arbitrary and capriciously by failing to consider important aspects of the issue. Notably in *Evergreen Shipping Agency (America) Corp. v. Federal Maritime Commission*, the Court found the Commission failed to consider “several critical facts and extenuating circumstances” when determining whether certain detention charges were just and reasonable.¹⁰⁶ F4th 1113, 1117, 466 U.S.App.D.C. 411 (D.C. Cir. 2024). Those facts included the circumstances surrounding the free time periods associated with the containers at issue. *Id.* In so holding, the Court reaffirmed the need for fact-bound analysis and case-specific determinations, rather than rigid formalism, when applying its regulations.

Here, the Bureau’s is attempting to convert § 541.7(a) into a rule that automatically nullifies all timely invoices that were later clarified, regardless of the factual circumstances. The Bureau fails to consider that Respondent’s invoices were timely issued, subsequently revised, contained the same charges, and were sent to the same proper billed party. These facts, like the free-time circumstances at issue in *Evergreen*, are critical to resolving the dispute between Respondent and Oceana. The Bureau’s refusal to consider them is arbitrary and capricious. § 541.7(a) is subject to meaningful judicial review, and the Commission may not expand its application beyond the text it lawfully promulgated, especially without consideration of the circumstances at issue. The Bureau’s position here would effectively do so.

ii. The Bureau’s decision is an illogical application of § 541.7(a)’s timeframe that runs counter to the Commission’s own statements regarding its policy rationale for the regulation’s implementation

Additionally, the Bureau’s actions are unreasonable under the arbitrary and capricious standard because they lack adequate explanation, are illogical in application, and are contrary to the underlying policy rationale. In *World Shipping Council v. Federal Maritime Commission*, the D.C. Circuit held that the FMC’s prohibition on carriers invoicing motor carriers with whom they were in contractual privity was arbitrary and capricious. 152 F.4th 215 (D.C. Cir. 2015). The court found that the FMC’s action conflicted with the regulation’s central organizing principle – that carriers may invoice parties with whom they are in contractual privity – and that the Commission failed to provide a reasoned explanation for excluding motor carriers *Id.* at 221-222.

Throughout the rulemaking process, the Commission’s central rationale for drafting the 30 calendar day deadline in § 541.7 was to promote commercial certainty in maritime transportation, ensure procedural fairness in billing practices, and maintain transparency in the detention and demurrage billing process. 87 Fed. Reg. 62,341, 62,353, 62,354 (Oct. 14, 2022). In its NPRM, the FMC explained the reasonableness of its 30 calendar day deadline and how it was ultimately adopted to provide predictability for invoices, create a transparent billing process, and facilitate more efficient verification of charges. *Id.* (stating “In addition to providing transparency and predictability for when billing parties must issue demurrage or detention invoices, commenters noted that an invoicing deadline will ensure that billed parties will have the information readily available to verify the accuracy of the charges... In addition, a 30-day deadline, which provides billing parties sufficient time to prepare an invoice, will also permit billed parties to verify the charges more efficiently.”).

Further, in response to multiple comments, from Hapag Lloyd and many others, regarding the unfairness of the rules’ asymmetry in its treatment of billing parties and billed parties (see 89 Fed. Reg. at 14,347-14,353)—and in particular about the existence of “the ability to correct an invoice that lacked certain information or contained incorrect data” (*Id.* at 14,349)—the Commission stated:

“[I]ssuing an invoice that does not comply with OSRA 2022’s requirements *does not permanently eliminate* the billed party’s obligation to pay those charges. In particular, 46 U.S.C. § 41104(f) cancels the obligation to pay an *invoice* that does not conform to OSRA but does not prevent the carrier from reissuing the *charges* on an invoice/bill that does meet the statutory requirements. The correctly billed party has an obligation to pay charges billed via a compliant invoice.”

Id. at 14,349 (emphases added). Indeed, this statement came in direct response to comments “request[ing] clarification” as to whether “a carrier’s submission of a corrected invoice ... must be completed within the 30-day timeframe.” *Id.*; see also *id.* at 14,358 (explaining, in response to “confusion as to whether there was any interplay between § 541.7 and § 541.8,” that “§ 541.7 spells out the rules for issuing an invoice to the correctly billed party,” while “§ 541.8 speaks to a process that assumes the invoice was sent to the correct party.”).

The Commission’s own contemporaneous explanation thus makes clear that the 30-day bar of Section 541.7 applies only when the initial invoice is sent to the incorrect party. If the regulation adopted actually embodies the opposite rule (as the OSC suggests) then the regulations themselves are arbitrary and capricious—and cannot be applied to Hapag Lloyd—because of the Commission’s own internal inconsistency. See *World Shipping*, 152 F.4th at 221 (D.C. Cir. 2025) (“Of course, it would be arbitrary and capricious for the agency’s decision making to be internally inconsistent.”) (quoting *Nat. Res. Def. Council v. U.S. Nuclear Reg. Comm’n*, 879 F.3d 1202, 1214 (D.C. Cir. 2018)); accord *ANR Storage Co. v. FERC*, 904 F.3d

1020, 1028 (D.C. Cir. 2018). And it would also make the rulemaking procedurally arbitrary and capricious because the Commission's responses to the commenters would be misleading rather than a meaningful reasoned response. *See, e.g., Carlson v. Postal Reg. Comm'n*, 938 F.3d 337, 345 (D.C. Cir. 2019); *Bloomberg L.P. v. SEC*, 45 F.4th 462, 477 (D.C. Cir. 2022).

In this case, the Bureau attempts to enforce an interpretation of § 541.7 that extends beyond the regulatory text and is inconsistent with its stated purposes of transparency and predictability. The Bureau's application of the 30 calendar day deadline undermines those objectives. Respondent invoiced the correct party within the 30 calendar day timeframe and without any substantive defects in the invoices' content. This is confirmed by the fact that the billed party did not contest the validity of the charges. Accordingly, Respondent's actions reflect the intended operation of the regulation, while the Bureau's actions of unfairly penalizing Respondent would contravene the principles of fairness and reasonableness that the regulatory framework is designed to promote. When, as here, the Bureau fails to provide sufficient explanation for an interpretation that departs from the Commission's stated purposes and prior rulemaking, its actions should be considered arbitrary, capricious, and unreasonable. And if, on the contrary, the Bureau's interpretation of the regulations is correct, then the regulations themselves are arbitrary and capricious.

iii. The Bureau's decision to have the Reissued Invoices fall under § 541.7(a) is unreasonable because it would result in illogical and inconsistent regulations

As stated above, the Bureau is effectively converting § 541.7(a) into a regulation that automatically nullifies all invoices that were subsequently revised, regardless of the factual circumstances. This decision is unreasonable and at odds with the Commission's own regulations, which expressly provide for a minimum timeframe within which billed parties may dispute invoices. § 541.8(a) provides, "[t]he billing party must allow the billed party at least

thirty (30) calendar days from the invoice issuance date to request mitigation, refund, or waiver of fees from the billing party.” Because § 541.7(a) requires invoices to be issued within 30 days of the date the charge was last incurred, and § 541.8(a) grants the billed party 30 days from the invoice issuance date to raise disputes, the Bureau’s rigid interpretation of § 541.7(a) creates a direct structural conflict. Specifically, any dispute raised by the billed party near the end of its § 541.8(a) window would arise after the carrier’s § 541.7(a) deadline has already expired, leaving the carrier with no regulatory authority to respond, revise, or correct its invoice. In submitting requests for mitigation, refund, or waiver under § 541.8(a), the billed party identifies issues in the invoices that the carrier may be able to clarify or correct. However, under the Bureau’s interpretation, the carrier is constrained by the 30 calendar day timeframe in § 541.7(a) and may be unable to much such corrections. As applied in this manner, the overlapping timeframes create illogical results in which the carrier is made aware of issues in the invoice but lacks sufficient time to respond or correct them.

The following example illustrates the illogical consequence of the Bureau’s position. Suppose a customer is issued a valid demurrage invoice for \$10,000, 10-calendar days after the date on which the charge accrued, in compliance with § 541.7(a). The billed party identifies a discrepancy and, 28 days after issuance, effectively requests a waiver of \$1,000 of the total charges, in compliance with § 541.8(a). Under the Bureau’s interpretation of § 541.7(a), the 30-day issuance deadline has already elapsed by the time the billing party is made aware of the alleged deficiency. The carrier is therefore categorically unable to revise its invoice to reflect the corrected balance, and the \$9,000 in remaining undisputed charges would, under the Bureau’s logic, be rendered permanently uncollectible. This outcome results in the forfeiture of undisputed charges triggered by the parties’ timely use of the dispute mechanisms the Commission created.

Such an application produces inconsistent and illogical results within the Commission's own framework, places carriers in an untenable position, and paradoxically disincentivizes billed parties from promptly raising alleged defects in its invoices. This outcome is the precise opposite of what § 541.8 was designed to encourage. If, however, the Bureau's application is deemed reasonable, then it is the regulations themselves that are arbitrary and capricious.

POINT II.

FMC SHOULD NEITHER ORDER THE WAIVER OF THE 159 SUBJECT CHARGES UNDER § 41310(c) NOR IMPOSE A CIVIL PENALTY UNDER §§ 41310(d), 41107 AND § 41109 FOR VIOLATIONS OF §§ 41104(a)(14) AND 41104(a)(15)(B)

A. §§ 41310, 41107 and 41109 do not authorize waivers, refunds, or civil penalties absent an actual predicate violation

The Bureau is seeking both a waiver of charges and to impose civil penalties under §§ 41310(c), 41310(d), 41107, and 41109(a). These sections are remedial in that they require the Commission to investigate Respondent's compliance with §§ 41104(a) and 41102, before authorizing waivers, refunds, or penalties. The Commission authorizes such remedies only upon a finding of noncompliance. These statutes therefore do not create a new substantive rule barring later invoice clarification, but supply a mechanism for enforcing already-existing statutory and regulatory requirements.

Here, the predicate violation necessary to waive charges or impose penalties is missing. The subject invoices were both timely under § 541.7(a), and otherwise not governed by the 30 calendar day timeframe imposed in § 541.7. Even if the Commission were to disagree on the merits of these arguments, penalties still would be unwarranted based on the facts of the matter and policy considerations.

This is not a case in which the OSC alleges a different billed party, concealment, willful disregard of a clear rule, or new charges. Respondent did not cancel the Initial Invoices because

the underlying charges were invalid, defective, or otherwise in violation of applicable law. Rather, Respondent unilaterally cancelled the Initial Invoices to resolve CC#1, a prior Charge Complaint solely challenging informational deficiencies in the invoices, not the legitimacy of the charges themselves. The subsequent cancellation and reissuance was a good-faith effort to provide invoices that addressed Oceana's objections. To treat the Reissued Invoices as a violation under the unfounded interpretation of § 541.7(a) penalizes Respondent for cooperating with the regulatory process and attempting to resolve disputes in good faith – the very conduct OSRA and the Commission's regulatory framework were designed to encourage. The absence of any prejudice to Oceana further supports the conclusion that Respondent complied with the applicable statutory requirements. Oceana received timely notice of all charges within 2-13 days of accrual. The Reissued Invoices contained those same charges, with the same amounts, the same container information, and addressed Oceana's own objections. Oceana, therefore, cannot claim surprise or harm by the reissued invoices. Waiving these charges would reward manipulation of the regulatory process, rather than remedy any financial harm done to Oceana.

The policy underpinning the Commission's Final Rule further supports the understanding that charges may be reissued on a compliant invoice under these circumstances. The Commission's 2020 Interpretive Rule acknowledged that detention and demurrage should "incentivize efficient cargo retrieval and container return." 85 Fed. Reg. 29,638, 29,639 (May 18, 2020). The legislative history of OSRA also reflects a clear intent to address "unjust and unreasonable" detention and demurrage practices. In explaining the policy rationale behind OSRA, Commissioner Dye stated in the U.S. Senate hearing: "The ultimate goal of this effort is to provide ocean carriers with the information they need to change their billing systems and avoid billing shippers for unreasonable demurrage and detention charges." Hearing on the

Ocean Shipping Reform Act of 2021 Before the S. Comm. on Commerce, Sci., & Transp., 117th Cong. (2022) (statement of Rebecca F. Dye, Comm'r, Fed. Mar. Comm'n.), at 16. This testimony illustrates that the FMC's efforts in OSRA were aimed at improving transparency and billing practices for detention and demurrage charges, and at enabling carriers to avoid imposing unreasonable charges in order to incentivize an efficient process.

Allowing a carrier to amend its invoice after receiving objections from the billed party would further this policy rationale and promote both parties to engage in invoicing operations. The customer, as the party with the information to contest the charge, would be incentivized to timely notify the billed party of any problems or issues to ensure only reasonable charges are paid. Meanwhile, the billing party is incentivized to reissue such charges in a timely manner to ensure billing parties are not prejudiced and contest the length of time in which the invoice was corrected. Such circumstances would make the invoicing process more transparent for both parties, incentivize efficient demurrage and detention operations, and ensure only reasonable and accurate charges are imposed.

Since Oceana has not disputed the merit of the invoices, that the detention or demurrage resulted from circumstances beyond its control, or that it was harmed by the reissuance, the FMC's published guidance confirms that the imposition of penalties would be inequitable and inconsistent with the goals of the regulations. The Bureau should not use OSRA to create technical procedural traps that result in the waiver of legitimate charges or the imposition of unfounded penalties on carriers.

B. The Charge Complaint and OSC's procedure are unlawful

In addition to the substantive problems with the OSC's interpretation and application of § 541.7(a), the OSC procedure itself is unlawful in multiple respects.

i. To the extent it seeks civil monetary penalties, this proceeding violates the Seventh Amendment under *Jarkesy*

The Seventh Amendment guarantees the right to a jury trial in all “suits at common law.” U.S. Const. amend. VII. As the Supreme Court recently reemphasized, that means that Congress is prohibited from assigning adjudication of a claim to an agency “if the claim ‘is legal in nature.’” *S.E.C. v. Jarkesy*, 603 U.S. 109, 122 (2024) (quoting *Granfinanciera, S.A. v. Nordberg*, 492 U.S. 33, 53 (1989)); *see also Id.* at 140 (“When a matter ‘from its nature, is the subject of a suit at the common law,’ Congress may not ‘withdraw [it] from judicial cognizance’”) (quoting *Murray v. Hunter’s Lessee*, 59 U.S. (18 How) 272, 284 (1855)). In *Jarkesy*, the Court held under this test that the SEC could not constitutionally seek civil monetary penalties for securities fraud in an administrative forum rather than an Article III court. *See generally Id.* The same holds true for the Commission’s effort to impose civil monetary penalties here.

To decide whether “a particular statutory claim ... is legal in nature,”—and is therefore subject to the Seventh Amendment’s jury-trial guarantee—courts must “consider the cause of action and the remedy it provides.” *Jarkesy*, 603 U.S. at 122-123. Starting with the remedy—“the ‘more important’ consideration”—in *Jarkesy* the Court found it “all but dispositive” that “the SEC seeks civil penalties, a form of monetary relief.” *Id.* at 123; *see also Id.* at 125 (the Court’s remedy analysis “effectively decides that the suit implicates the Seventh Amendment right”; its analysis of the cause of action merely “confirms that conclusion”). While monetary relief can sometimes be equitable “if it is designed ... solely to ‘restore the status quo’”—as may be the case with restitution, for example—if the monetary penalty “also serve[s] either retributive or deterrent purposes,” then it is a legal remedy, therefore triggering the Seventh Amendment.” *Id.* (first quoting *Tull v. United States*, 481 U.S. 412, 422 (1987)), then quoting *Austin v. United States*, 509 U.S. 602, 610 (1993)).

In *Jarkesy*, the Court concluded that the SEC’s civil monetary penalties served punitive rather than restorative purposes based on a number of characteristics of the statutory scheme (603 U.S. at 123-125)—but here, the punitive nature of the penalties is even clearer. That is because the OSC seeks, and the statute authorizes, civil monetary penalties (payable to the government) *in addition to* a refund or waiver of the relevant charges to the billed party. See Order at 6; 46 USC § 41310(c) (requiring refund); *Id.* § 41310(d) (separate requiring “a civil penalty”). If the billed party is already fully compensated by a refund or waiver of the charges, then the civil penalty logically cannot be “designed ... solely to ‘restore the status quo’” (which has already been restored); rather, it must be “designed to punish” *Jarkesy*, 603 U.S. at 123; *compare also* 46 USC § 41107 (subject of a civil penalty “is liable to the United States Government”), *with Jarkesy*, 603 U.S. at 125 (finding the fact that penalties were paid to the SEC, which had no obligation “to return [the] money to victims,” to be “[t]he final proof that this remedy is punitive”).

As in *Jarkesy*, therefore, “the civil penalties in this case are designed to punish and deter, not to compensate,” and “[t]hat conclusion effectively decides that this suit implicates the Seventh Amendment right.” 603 U.S. at 125. If necessary, analysis of the cause of action “confirms that conclusion.” *Id.* As the Supreme Court has explained, both the “English common law” and early American cases “treat[ed] the civil penalty suit as a particular type of an action in debt, requiring a jury trial.” *Tull*, 481 U.S. at 418-419 (collecting cases). And the legal nature of an action to collect a civil penalty historically was not affected by the fact that it may have had a connection to maritime matters: In contrast to *in rem* admiralty suits, “[i]f the suit is *in personam* to collect a penalty from some individual or corporation, then the right to a jury trial exists in every instance because the suit is on the common law side” 2 *Benedict on Admiralty* § 141 (7th

ed. 2026); *accord, e.g., United States v. James W Elwell & Co*, 250 F 939, 941 (2d Cir 1918) (Learned Hand, J) (“We think that the District Court had no jurisdiction in admiralty over the collection of a penalty by proceedings in personam,” notwithstanding that the substance of the dispute concerned “damages due to the detention of [a] ship in violation of the contract of carriage”).

Finally, the public rights exception to the jury-trial guarantee does not save the OSC procedure. *See Jarkesy*, 603 U.S. at 127-140. That exception for “certain ... historic categories” of “matters [that] historically could have been determined exclusively by the executive and legislative branches” is narrowly construed. *Id.* at 128, 130. (quotation marks omitted; alteration incorporated); *see Id.* at 132. (“Even with respect to matters that arguably fall within the scope of the ‘public rights’ doctrine, the presumption is in favor of Article III courts”) (quotation marks omitted). It does not apply here: The underlying subject matter is the distinctly *private* right to detention and demurrage charges for delayed equipment, and “matters concerning private rights may not be removed from Article III courts.” *Id.* at 127. And unlike the few circumstances where the Supreme Court has applied the public rights exception, demurrage and detention have common-law roots. *See, e.g., Norfolk S Ry Co v. Groves*, 586 F3d 1273, 1276 (11th Cir 2009) (“The right to assess detention or demurrage charges against parties to a transportation contract for delay in releasing transportation equipment is well established at common law”).³

³ *Cf Oceanic Steam Nav.Co v. Stranahan*, 214 U.S. 320, 338-340 (1909) (exception applied to act that excluded from immigration noncitizens “afflicted ‘with a loathsome or with a dangerous contagious disease,’” and fined ship operators who brought such noncitizens to the country, in light of the “complete ... authority of Congress over the right to bring aliens into the United States”); *Jarkesy*, 603 U.S. at 136-140 (discussing *Atlas Roofing* case, which “concluded that Congress could assign [certain statutory] adjudications to an agency because the claims were ‘unknown to the common law’”) (quoting *Atlas Roofing Co v. Occupational Safety & Health Rev. Comm’n*, 430 U.S. 442, 461 (1977)).

In sum, *Jarkesy* underscores that Congress may not assign a traditionally legal claim to an administrative tribunal outside of a few narrowly drawn historical exceptions. Because the OSC procedure does exactly that to the extent it seeks civil monetary penalties, the procedure violates the Seventh Amendment.

ii. The summary OSC procedure is unauthorized by statute and conflicts with statutory mandates

Next, the “fast-track” procedure described in the Commission’s guidance (FMC, *Guidance on Charge Complaint Interim Procedure* (last visited March 31, 2026) and mandated by the OSC in this case is unauthorized by statute and contravenes core provisions of the Shipping Act.

The Shipping Act guarantees respondents in Commission proceedings a hearing: “The Federal Maritime Commission *shall provide* an opportunity for a hearing before issuing an order relating to a violation of this part or a regulation prescribed under this part.” 46 USC § 41304(a) (emphasis added); *see, e.g., Bufkin v. Collins*, 604 U.S. 369, 379 (2025) (“It is undisputed that the word ‘shall’ imposes a mandatory command ‘Shall’ means ‘must’”) (citation omitted). It also guarantees the availability of discovery: “In an investigation or adjudicatory proceeding under this part ... *a party may* use depositions, written interrogatories, and discovery procedures under regulations prescribed by the Commission that, to the extent practicable, shall conform to the Federal Rules of Civil Procedure.” 46 USC § 41303(a)(2) (emphasis added); *see, e.g., Conservancy of Sw Fla v. U.S. Fish & Wildlife Serv*, 677 F3d 1073, 1084 n16 (11th Cir 2012) (without limiting language, “the permission granted by the word ‘may’ is unqualified”). When a substantive statute thus requires a formal hearing, the APA also imposes additional requirements, including separation of functions. 5 USC § 554(d); *see* 46 CFR § 502.224 (“The separation of

functions as required by 5 USC § 554(d) shall be observed in proceedings under subparts A to Q inclusive, of this part”).

The OSC, by contrast, purports to “waive[]” the bulk of the Commission’s procedural rules—including those regarding subpoenas, discovery, and the right to present evidence (OSC at 7)—and to provide that “this proceeding [shall] be limited to the submission of affidavits of fact, memoranda of law, and documentary evidence.” (*Id.* at 6). *See also* FMC, *Guidance on Charge Complaint Interim Procedure* (last visited March 31, 2026)(“Procedures not consistent with achieving an expedited decision on refunds or waivers, such as discovery or oral argument, will be waived for the refund proceeding”). It contemplates “the opportunity for a hearing” only with respect to civil penalties, not with respect to refunds. (OSC at 6). And in blending investigation, charging, and adjudication into one streamlined single-shot process—in which “the Commission” (OSC at 8) has already issued an order alleging statutory and regulatory violations (*Id.* ¶¶ 31-35)—it appears to disregard the separation of functions as well.

Even if the Commission’s claimed authority to waive procedural rules could be utilized in this sweeping manner on its face (*but see infra* pages 29-30), it is axiomatic that “[a] valid statute always prevails over a conflicting regulation, and a regulation can never trump the plain meaning of a statute.” *Texas v. EPA*, 726 F3d 180, 195 (DC Cir 2013) (quotation marks and citation omitted). The Shipping Act guarantees certain procedural protections to the subjects of Commission proceedings, the APA contains additional safeguards, and “an agency may not rewrite clear statutory terms to suit its own sense of how the statute should operate.” *Util Air Reg Grp v. EPA*, 573 U.S. 302, 328 (2014).

Nor does the OSRA’s charge-complaint provision do away with the statutory right to discovery and a hearing, or otherwise authorize the OSC procedure. *See* 46 USC § 41310. That

section simply provides, in general terms, that upon receiving a charge complaint “the Commission shall promptly investigate,” and that the common carrier will “be provided an opportunity to submit additional information” and shall “bear the burden of establishing ... reasonableness.” *Id* § 41310(b). Nothing on the face of that language overrides the other procedural rights established in the Shipping Act or the APA; as such, it must be read not to do so. *See, e.g., Jones v. Hendrix*, 599 U.S. 465, 478 (2023) (“Basic principles of statutory interpretation require that we construe [related statutory provisions] in harmony, not set them at cross-purposes”). Indeed, the lack of express authorization in Section 41310 for the new procedures reflected in the OSC and the Commission’s guidance itself independently renders those provisions ultra vires. *See FEC v. Ted Cruz for Senate*, 596 U.S. 289, 301 (2022) (“An agency, after all, literally has no power to act—including under its regulations—unless and until Congress authorizes it to do so by statute”) (quotation marks omitted).

iii. At the least, the OSC procedure cannot be adopted without notice and comment rulemaking

Even if the OSC procedure were compatible with the statutory scheme, it would be invalid because the Commission has not promulgated it through notice and comment rulemaking. *See* 5 U.S.C. § 553 “A rule is legislative”—requiring notice and comment—“if it supplements a statute, adopts a new position inconsistent with existing regulations, or otherwise effects a substantive change in existing law or policy.” *Mendoza v. Perez*, 754 F3d 1002, 1021 (DC Cir 2014).

The Commission’s charge-complaint guidance and the OSC itself are plainly inconsistent with the Commission’s existing procedural regulations: The guidance provides that “[p]rocedures not consistent with achieving an expedited decision ... such as discovery or oral argument, will be waived” (FMC, *Guidance on Charge Complaint Interim Procedure* (last

visited March 31, 2026)), and the OSC purports to waive whole swaths of the Code of Federal Regulations. (Order at 7 (purporting to “waive[] the provisions of Subparts A - E, I - L, and P of Part 502, and all other provisions ... except as consistent with this Order”) *See also Azar v. Allina Health Servs*, 587 U.S. 566, 575 (2019) (“Agencies have never been able to avoid notice and comment simply by mislabeling their substantive pronouncements. On the contrary, courts have long looked to the *contents* of the agency’s action, not the agency’s self-serving *label*”—such as guidance or “statements of policy”—when deciding whether statutory notice-and-comment demands apply”).⁴

The Commission’s citation of 46 CFR § 502.10, which permits waivers in certain circumstances, is unavailing. That provision allows the Commission to waive “any of the rules of this part ... *in any particular case*” for reasons of “undue hardship, manifest injustice” or “expeditious conduct of business.” *Id.* (emphasis added). It would turn the text on its head to read in an authorization for waivers not just in “particular case[s],” but in *all* cases arising from charge complaints. Indeed, “in all cases” would be the *opposite* of “in any particular case” *See, e.g., Particular, Oxford English Dictionary* (Rev. 2005) (“That is a unit or one among a number;

⁴ The exception from notice and comment for procedural rules also does not apply here. *Cf* 5 USC § 553(b)(A). That exception “must be narrowly construed” and is limited to “internal house-keeping measures.” *AFL-CIO v. NLRB*, 57 F4th 1023, 1035 (DC Cir 2023). “When a rule imposes substantive burdens, encodes a substantive value judgment, trenches on substantial private rights or interests, or otherwise alters the rights or interests of parties, it is not procedural for purposes of the Section 553 exemption.” *Id.* (quotation marks and citations omitted). The OSC’s waiver of important protections like discovery and a live hearing plainly “trenches on” or “otherwise alters” the interests of subjects of Commission investigations in accurate adjudications before they are deprived of their property. *Id.* Notably, the Commission itself has admitted that notice and comment is appropriate for adoption of procedures like these. *See FMC, Guidance on Charge Complaint Interim Procedure* (last visited March 31, 2026) (“Experience gained from these first proceedings will guide the Commission on what form a permanent process should take. A new permanent procedure would be completed through a formal rulemaking after notice and public comment”).

taken or considered as an individual, apart from the rest; single; distinct, individual, specific”).

And in any event, the regulatory waiver authority does not apply if it “would be inconsistent with any statute” (46 CFR § 502.10), and as described, the OSC purports to waive procedures that the Shipping Act guarantees.

iv. Due process requires greater procedural protection than provided by the OSC procedure

Finally, the Commission’s “fast-track” procedures (FMC, *Guidance on Charge Complaint Interim Procedure* (last visited March 31, 2026)), which dispense with discovery, a live hearing, and the other trappings of a full-fledged adjudication, fail to adequately ensure due process for respondents. *See generally Mathews v. Eldridge*, 424 U.S. 319, 335 (1976) (setting out three-factor balancing inquiry for procedural due process: “First, the private interest that will be affected by the official action; second, the risk of an erroneous deprivation of such interest through the procedures used, and the probable value, if any, of additional or substitute procedural safeguards; and finally, the Government’s interest, including the function involved and the fiscal and administrative burdens that the additional or substitute procedural requirement would entail”).

Those factors militate in favor of additional procedural protections here. First, the private interests at stake are substantial, as this case illustrates: In a single proceeding involving a single billed party, the Commission proposes to waive nearly \$1.2 million in demurrage and detention charges (without any indication that Hapag Lloyd lacks a substantive entitlement to that money) *See* OSC ¶ 35. And the statutory penalties the Commission seeks could amount to another \$2,383,092—or up to an additional \$11,915,937 million if the Commission were to determine, using its paper-only, discovery-free OSC procedures, that the violations were “willfully and knowingly committed.” 46 CFR § 506.4 (civil penalties of up to \$14,988 per violation, or up to

\$74,943 per violation if knowing and willful). Nearly \$13 million of potential liability in a single proceeding is surely enough of a private interest to warrant serious procedural guardrails.

Next, the streamlined OSC procedures pose serious risks of erroneous deprivations, particularly where liability turns on disputed facts, including such factors as credibility, operational causation, invoice compliance, or complex issues of reasonableness. Without discovery, cross-examination, or a live hearing, respondents in such cases cannot effectively defend themselves. *Cf. Mathews*, 424 U.S. at 344 (“[P]rocedural due process rules are shaped by the risk of error inherent in the truthfinding process as applied to the generality of cases”). And these risks are only heightened by the procedure’s apparent merging of the investigatory, charging recommendation, and adjudicatory functions in a manner that appears to have prejudged Hapag Lloyd’s alleged liability. *See* page 32, *supra*; 5 U.S.C. § 554(d); *cf, eg, Bakalis v. Golembeski*, 35 F3d 318, 326 (7th Cir 1994) (“Certainly, a body that has prejudged the outcome cannot render a decision that comports with due process”).

Finally, that additional procedures—in particular, the normal procedures afforded by the Commission’s standard rules of practice—would ameliorate these risks without undue burden or expense is proven by the very fact that those procedures apply by default in all other Commission proceedings. *Cf. Goldberg v. Kelly*, 397 U.S. 254, 266 (1970) (“[T]he very provision for a post-termination evidentiary hearing in New York’s home relief program is itself cogent evidence that the State recognizes the primacy of the public interest in correct eligibility determinations and therefore in the provision of procedural safeguards”), Due process demands more here.

v. The Commission's failure to timely respond to Respondent's FOIA Request prejudices Respondent and underscores the inadequacy of the OSC procedure

The procedural unfairness of this expedited OSC proceeding is further compounded by the Commission's failure to timely respond to Respondent's FOIA Request, in violation of its own regulations.⁵ As set forth in the factual allegations, Respondent's counsel submitted a narrowed FOIA Request on January 13, 2026, on direction of HPL and in accordance with the Commission's recommendations. The FOIA Request was limited to records of how the Commission handled Charge Complaints filed since OSRA's enactment — specifically, which complaints were closed without a private settlement and which resulted in an Order to Show Cause despite the respondent having filed a substantive response. These materials were essential to Respondent's ability to understand the Commission's expectations and treatment of similar matters to obtain a comparable outcome. The requested FOIA records may be highly relevant and bear directly on the Commission's prior interpretations of related rules, statutes, and enforcement practices concerning detention and demurrage charging and invoicing. However, as of the date of this filing, the Commission has failed to comply with the FOIA Request, depriving Respondent of the meaningful opportunity to prepare and avoid the OSC's expedited process.

Respondent does not contend that the Commission's failure to produce these materials establishes that they are favorable, nor does Respondent seek FOIA relief in this proceeding. Respondent does contend, however, that the Commission's withholding of these materials underscores the inadequacy of the OSC's procedure. By compelling Respondent to defend itself

⁵ The Freedom of Information Act requires an agency to determine whether to comply with any FOIA request and subsequently notify the requesting party of such decision within 20 days of receipt. 5 USC § 552(a)(6)(A)(i). Commission regulations likewise require the Secretary to make such determination within 20 days of receipt. 46 CFR § 503.32(a)(1).

in an accelerated proceeding while comparator materials remain solely within the agency's possession, the Commission creates a prejudicial imbalance. Respondent should not be disadvantaged in a high-stakes, expedited proceeding by the absence of materials it timely sought and that remain uniquely within the agency's control. At minimum, no adverse inference should be drawn from Respondent's inability to cite or analyze those materials, and Respondent should be permitted to supplement this Response if and when they are produced.

vi. FMC Commissioners are unlawfully insulated from removal

Finally, Hapag Lloyd preserves the argument that the proceedings are unconstitutional because of the Commissioners' for-cause removal protections. *See* 46 U.S.C. § 46101(b)(5) (permitting removal of Commissioners only "for inefficiency, neglect of duty, or malfeasance in office."). As the Supreme Court has recently reemphasized, the Constitution gives the President "unrestricted" authority to remove officers exercising the Executive Power—like the Commission—at will, making for-cause removal statutes unconstitutional. *Seila Law LLC v. CFPB*, 591 U.S. 197, 205 (2020). And while the Court's recent decisions have maintained an earlier exception, recognized in *Humphrey's Executor v. United States*, 295 U.S. 602 (1935), for multi-member commissions (*see Seila Law*, 591 U.S. at 205), it may soon overrule that exception. *See, e.g., Trump v. Slaughter*, No. 25-332 (U.S.) (presenting the question whether to overrule *Humphrey's Executor*). Hapag Lloyd thus preserves this argument for future review. *See Seila Law*, 591 U.S. at 212 ("[P]rivate parties aggrieved by an official's exercise of executive power" may "challenge the official's authority to wield that power while insulated from removal by the President," even absent "a contested removal").

POINT III.

RESERVATION OF RIGHTS

Respondent reserves all rights and defenses not expressly addressed herein

Respondent further reserves the right, pursuant to the OSC, to request oral testimony, additional evidence, or oral argument to the extent necessary

Respondent also reserves all rights and defenses with respect to any separate hearing or further proceeding concerning civil penalties under 46 USC § 41109(a), should the Commission determine such a proceeding is necessary

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons, Respondent respectfully requests that the Commission:

1. Find that Respondent's action with respect to the 159 invoices identified in Attachment A of the OSC does not constitute a violation of 46 USC §§ 41104(a)(14) or 41104(a)(15)(B);
2. Decline to order any waiver or refund under 46 USC § 41310(c);
3. Decline to impose any civil penalty under 46 USC §§ 41310(d), 41107, or 41109(a); and
4. Discharge the Order to Show Cause and dismiss this proceeding without any further action

Dated: March 31, 2026

Respectfully submitted,

/s/Cassandra Hemmer

/s/Wook Chung

/s/Kaspar Kielland

/s/Matteo Bonuzzi

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CERTIFICATE OF SERVICE

I certify that on the 31st day of March 2026, a true and correct copy of the foregoing Response to the Order Directing Hapag-Lloyd AG to Show Cause were served by email on all counsel of record in accordance with 46 CFR Part 502.

/s/ Cassandra Hemmer

Cassandra Hemmer

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